(a) ***Exemption method:*** This ensures complete avoidance of tax overlapping.

(b) ***Tax credit method:*** This provides relief by giving the tax payer a deduction from the tax payable in India.

Apart from providing ways and means to avoid double taxation of same income, the agreements generally provide for other matters of common interest of the two countries ***such as***: exchange of information; mutual assistance procedure for resolution of disputes; and for mutual assistance in effecting recovery of taxes. Treaties being international agreements, their consequences are determined according to the rules of ***Vienna Convention on the Law of Treaties, 1969***. The Articles 31, 32 and 33 of the convention lay down the rules for interpretation of these treaties. The commentaries by OECD and UN based on respective models also provide material for interpretation of the treaties. The terms and expressions, if not defined in the treaties, take their meaning from respective domestic law in case they are defined there.

Q. 36 Write a short note on the impact of colonialism on the Indian industry in the pre-independence period.

Ans.

- The first half of the 19th century saw a sudden and quick collapse of urban handicrafts – railways made it even faster.
- The second half of 19th century saw the entry of modern industries but the pace was very slow – low technology and confined to **cotton** and **jute,** iron/steel, came up in 1907 while sugar, cement and paper industries and a few engineering firms came up in the 1930s – still by 1946, cotton and jute textiles accounted for nearly 30% per cent of all worker employed in factories [CEHI].[3]
- After 1918, modern industry developed quite fast but its growth rate was just 3.8 per cent and had little impact on overall economic situation as its share in the national income was at 7.5 per cent by July 1947 [A. Maddison] in 1913 it was 3.8 per cent [CEHI].